

CASE STUDY: 75% REDUCTION IN MATERIAL REORDER COSTS

Eliminating Financial Leakage through Centralized Inventory Control

Executive Summary In 2023, glass reordering costs reached a critical peak of **\$1.2M** due to duplicate orders and fragmented tracking across shifts. By implementing a centralized "System-Level Control" framework, I reduced annual reorder costs to **\$300K** in 2025—achieving a **\$900K annual saving** and establishing total inventory accountability.

1. CONTEXT & CHALLENGE

Glass reordering had become an unmanaged cost driver. The lack of a unified tracking system allowed identical orders to be placed across different shifts, leading to significant financial waste and inventory bloat.

- **The Problem:** Cross-functional and cross-shift control failure.
- **Financial Impact:** \$1.2M annual leakage.
- **Systemic Gaps:**
 - No centralized visibility into pending orders.
 - Duplicate reorders occurring across multiple shifts.
 - Absence of a standardized approval workflow or "search-before-order" rule.

2. MANAGEMENT STRATEGY (SYSTEMS THINKING)

I approached this as a **process design problem**, not a material usage issue.

- **Data Quantification:** Reviewed historical reorder logs to prove that the majority of costs were driven by *process duplication* rather than breakage.
- **Process Mapping:** Identified the "Blind Spots" in the communication transition between day and night shifts.
- **Accountability Framework:** Shifted the culture from "Auto-Reorder" to "Verified Procurement."

3. THE SOLUTION: CENTRALIZED CONTROL SYSTEM

I led the design and implementation of a custom-built glass management workflow:

1. **Centralized Tracking:** Launched a unified digital log to track every reorder across all shifts in real-time.
2. **Tiered Authorization:** Established clear ownership levels, requiring manager-level verification for high-value reorders.
3. **"Search-Before-Order" Protocol:** Mandatory inventory checks to prevent ordering glass already present on-site or in-transit.

4. **ETA Visibility:** Integrated ETA tracking so production teams could plan around incoming glass rather than placing panic orders.

4. QUANTIFIED IMPACT (2023 vs. 2025)

Metric	2023 Baseline	2025 Result	Total Improvement
Annual Reorder Cost	\$1,200,000	\$300,000	75% Reduction
Financial Savings	\$0	\$900,000	N/A
Duplicate Orders	Frequent	Eliminated	100% Accuracy

5. LEADERSHIP TAKEAWAYS

- **Control over Consumption:** Most "material waste" is actually "information waste"—visibility solves the latter.
- **Shift Synchronization:** In 24/7 operations, centralized data is the only way to ensure continuity of management.
- **Process Integrity:** Sustainable cost-cutting is the result of fixing the *rules* of the system, not just the behavior of the individuals.

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